3.8.2 Porter's generic strategies

Unit 3.8 Choosing strategic direction · 6 key points

- **Porter's generic strategies:** low cost, differentiation, focus
- **Low cost (cost leadership):** lowest costs in the market, so can charge less or earn higher margins
- **Differentiation:** offering something customers see as better or distinctive, for a higher price
- **Focus:** concentrating on a narrow segment, either on cost or differentiation
- **Stuck in the middle:** neither the lowest costs nor a clear point of difference
- **Trap:** only one business can have the lowest costs